



Rectification of Errors

Question 1.

[PYQ June-19 for 8 marks]

Rectify the following errors -

- (i) A Credit Sale of goods to X ₹ 3,000 posted as ₹ 30,000.
- (ii) A Cash Sale of goods to Y ₹ 3,000 posted as ₹ 30,000.
- (iii) A Credit Sale of Furniture to Z ₹ 3,000 posted as ₹ 30,000.
- (iv) A Credit Sale of goods of ₹ 3,000 to Krishan entered in the purchases book, as ₹ 30,000 and posted therefrom to the credit of Krishan as ₹ 3,000.
- (v) A Cash Sale of goods of ₹ 3,000 to Krishan posted to the credited of Krishan as ₹ 30,000.
- (vi) A Credit Purchase of old machinery from Sohan for ₹ 17,000 was entered in the Purchases Book as purchase from Mohan for ₹ 71,000. ₹ 3,000 paid as Repair Charges of this Machinery debited to General Expenses Account.
- (vii) A Bill drawn on Meenu for ₹ 30,000 was passed through bills payable book with ₹ 3,000 and posted therefrom to the credit of Meena as ₹ 300.
- (viii) Sales included a sale of furniture having a book of value of ₹ 900 for ₹ 850 on 31st March, 2018.

Solution

JOURNAL

Date	Particulars		Dr. (₹)	Cr. (₹)
(i)	Suspense A/c To X A/c (Being wrong posting now rectified)	Dr.	27,000	27,000
Or,				
	Sales A/c To, X A/c (being credit sale of ₹ 3,000 wrongly posted as ₹ 30,000, now rectified)	Dr.	27,000	27,000
(ii)	Sales A/c To Suspense A/c (Being wrong posting now rectified)	Dr.	27,000	27,000
Or,				
	Sales A/c To, Cash A/c (Being, cash sale of ₹ 3,000 wrongly posted as ₹ 30,000, now rectified)	Dr.	27,000	27,000

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(iii)	Furniture A/c To Z A/c (Being wrong posting, now rectified)	Dr.	27,000	27,000
(iv)	Krishan A/c Kishan A/c Suspense A/c To Sales A/c To Purchases A/c (Being sale recorded as purchase with wrong amount and wrong posting therefrom, now rectified)	Dr. Dr. Dr.	3,000 3,000 27,000	3,000 30,000
(v)	Kishan A/c To Sales A/c To Suspense A/c (Being wrong posting, now rectified)	Dr.	30,000	3,000 27,000
(vi)	Mohan A/c Machinery A/c To Sohan A/c To Purchases A/c To General Expenses A/c (Being purchase of old machinery recorded the Purchases Book and repairing charges debited to General Expenses A/c, now rectified)	Dr. Dr.	71,000 20,000	17,000 71,000 3,000
(vii)	Bills Receivable A/c Bills Payable A/c Meena A/c To Meenu A/c To Suspense A/c (Being B/R drawn recorded in B/P Book, now rectified)	Dr. Dr. Dr.	30,000 3,000 300	30,000 3,300
(viii)	Sales A/c Loss on Sale of Furniture A/c To Furniture A/c (Being the sale of furniture recorded as sales, now rectified)	Dr. Dr.	850 50	900

Question 2.**[PYQ Dec-23 for 11 marks]****Rectify the following errors by passing Journal entries -**

- Preeti was paid cash ₹ 2,800 but Jyoti was debited by
- Goods costing ₹ 10,000 were purchased for various members of the staff and the cost was included in 'Purchases'. A similar amount was deducted from the salaries of the staff members concerned and the net payments to them debited to Salaries Account.

- (iii) Wages amounting to ₹ 7,000 for machinery erection were debited to the Wages Account.
- (iv) Machinery written off by ₹ 1,000 has not been posted to the Depreciation Account.
- (v) Goods purchased for ₹ 1,000 for the proprietor's use were debited to the Purchases Account.
- (vi) Goods purchased for ₹ 5,000 were posted as ₹ 500 to the Purchases Account.
- (vii) Goods purchased for ₹ 200 were posted as ₹ 2,000 to the Purchases Account.
- (viii) ₹1,000 received from Preeti was debited to her account.
- (ix) The balance in the account of Mr. Rahim ₹ 1,000 has been written off as bad but no account has been debited.

Solution

Date	Particulars		Dr. (₹)	Cr. (₹)
(i)	Preeti To Jyoti To Suspense A/C	Dr.	2800	2,000 800
(ii)	Salaries A/C To purchases A/C	Dr.	10,000	10,000
(iii)	Machinery A/C To Wages A/C	Dr.	7,000	7,000
(iv)	Depreciation A/C To Suspense A/C	Dr.	1,000	1,000
(v)	Drawing A/C To Purchases A/C	Dr.	1,000	1,000
(vi)	Purchases A/C To Suspense A/C	Dr.	4,500	4,500
(vii)	Suspense A/C To Purchases A/C	Dr.	1,800	1,800
(viii)	Suspense A/C To Preeti	Dr.	2,000	2,000
(ix)	Bad Debts A/C To Suspense A/C	Dr.	1,000	1,000

Question 3.**[PYQ June-23 for 8 marks]**

Rectify the following errors identified in the books of Sunil. The Trial Balance showed ₹ 250 as debit excess. The difference has been posted to the Suspense Account.

- (i) Total of debit side of Expenses Account has been cast in excess of ₹ 150.
- (ii) Sales Account has been totaled short by ₹ 200
- (iii) One item of purchase of ₹ 25 has been posted from the Purchases Book to the Ledger as ₹ 350.
- (iv) Sales return of ₹ 200 from a party has not posted to that account, though the Party's Account has been credited.

(v) A cheque of ₹ 600 issued to the Supplier's Account (shown under Sundry Creditors) towards his dues had been wrongly debited to the Purchases Account.

(vi) Credit sale of ₹ 100 has been credited to the sales and also to the Sundry Debtors Account.

Required - Pass the necessary journal entries for correcting the above and prepare a Suspense Account as it would appear in the ledger.

Solution

JOURNAL

Date	Particulars		L.F.	Dr.	Cr.
(i)	Suspense A/c To Expenses A/c (Being the mistake in totaling of Expenses A/c rectified)	Dr.		150	150
(ii)	Suspense A/c To Sales A/c (Being the mistake in totaling of Sales A/c rectified)	Dr.		200	200
(iii)	Supplier's A/c To Suspense A/c (Being the mistake in posting from Purchase Book to Ledger rectified)	Dr.		325	325
(iv)	Sales Return A/c To Suspense A/c (Being the Sales return from a party, not posted to sales return, now rectified)	Dr.		200	200
(v)	Sundry Creditors A/c To Purchases A/c (Being the payment made to supplier wrongly posted to purchases, now rectified)	Dr.		600	600
(vi)	Sundry Debtors A/c To Suspense A/c (Being the sales wrongly credited to Customer's A/c, now rectified)	Dr.		200	200

Suspense A/c Total ₹ 975

Credit Balance ₹ 625

Question 4.

[PYQ June-24 for 7 marks]

The Trial Balance of Rajesh Brothers on 31st March, 2023 did not agree. In order to close the books, the accountant placed the difference for ₹ 26,700 (Dr) to Suspense Account for necessary

adjustment in the next period. On 25th April, 2023 the following errors, arising in 2022-23 were detected.

- (i) ₹ 4,500 allowed as cash discount to a trade debtor was not debited to the Discount Account.
- (ii) Credit Sale of ₹ 6,550 was posted to the credit of the customer's account as ₹ 5,650.
- (iii) Machine purchased on 1st October, 2022 for ₹ 50,000 in cash was posted to the Purchase Account in the ledger. Rate of Depreciation was applicable on machine 15% per annum.
- (iv) Sales book was overcast by ₹ 10,000 in February 2023.

Give Journal entries to rectify the errors and prepare Suspense Account.

Solution

Journal of Rajesh Brothers

			Dr.	Cr.
Date	Particulars		Dr. (₹)	Cr. (₹)
25.04.23	P & L Adjustment A/c To Suspense A/c	Dr.	4,500	4,500
25.04.23	Customer's A/c To Suspense A/c	Dr.	12,200	12,200
25.04.23	Machinery A/c To P & L Adjustment A/c	Dr.	46,250	46,250
25.04.23	P & L Adjustment A/c To Suspense A/c	Dr.	10,000	10,000
25.04.23	P & L Adjustment A/c To Capital A/c	Dr.	31,750	31,750
(All Journal entries to be supported by appropriate narration)				

Suspense A/c

Date	Particulars	(₹)	Date	Particulars	(₹)
01.04.23	To Balance b/d	26,700	25.04.23	By P & L Adjustment A/c	4,500
			25.04.23	By Customer's A/c	12,200
			25.04.23	By P & L Adjustment A/c	10,000
		26,700			26,700

Question 5.

[MTP'1 June-18 for 8 marks]

The following errors were discovered in the books of a trader for the year ended December 31, 2015 -

- (i) The total of the Purchase Day Book had been undercast by ₹ 100.
- (ii) The discount column of the debit side of the Cash Book had been posted to the credit of the Discount Received Account ₹ 20.

- (iii) ₹ 76 paid for Repairs of Motor Van had been taken to Motor Van Account.
- (iv) A cheque received from B ₹ 39 had been debited in Cash Book but the double entry had not been completed.
- (v) The Returns Outward Book had been overcast by ₹ 50. Show the Rectification entries considering that the Final Accounts had already been prepared and the net profit arrived at amounted ₹ 24,320 (before corrections).

Show the calculation of the net profit for the year.

Solution

Journal

Date	Particulars		L.F.	Dr.	Cr.
(i)	Profit & Loss Adjustment A/c To Suspense A/c [Being, purchase Day Book under cast, now rectified]	Dr.		100	100
(ii)	Profit & Loss Adj. A/c (Disc. Allowed and Disc Received) To Suspense A/c [Being, Disc. Received credited instead of Disc. allowed debited, now rectified]	Dr.		40	40
(iii)	Profit & Loss Adjustment A/c To Motor Van A/c [Being, Repairs of Motor Van debited to Motor Van Account, now rectified]	Dr.		76	76
(iv)	Suspense A/c To B A/c [Being, Cash Received from B not credited to his account, now rectified]	Dr.		39	39
(v)	Profit & Loss Adjustment A/c To Suspense A/c [Being, Overcasting of Return Outward Book, now rectified]	Dr.		50	50

Dr.

Profit and Loss Adjustment Account

Cr.

Particulars	(₹)	Particulars	(₹)
To Suspense A/c	100	By Net Profit b/d	24,320
To Suspense A/c	40		
To Motor Van A/c	76		
To Suspense A/c	39		
To Capital A/c (Adjusted Net Profit)	24,054		
	24,320		24,320

Question 6.**[MTP'2 Dec-18 for 6 marks]****Rectify the following errors by passing necessary journal entries -**

- 45/10/18*
- (i) Goods taken by the proprietor ₹ 7,500 for gift to his wife were not recorded at all.
 - (ii) ₹ 9,300 received from Upal against debts previously written off as bad debts have been credited to his personal account.
 - (iii) Received interest ₹ 645, posted to loan account.
 - (iv) A cheque received from Manav, a debtor, for ₹ 12,000 was directly received by the proprietor who deposited it into his personal bank account.

Solution**JOURNAL**

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Date	Particulars		L.F.	Dr.	Cr.
	Drawings A/c To Purchase A/c [Being, goods taken by proprietor previously not recorded, now rectified]	Dr.		7,500	7,500
	Upal's A/c To Trading A/c [Being, Upal's A/c wrongly credited for amount received against bad debts written off, now rectified]	Dr.		9,300	9,300
	Loan A/c To Interest Received A/c [Being, Interest received wrongly credited to Loan A/c, now rectified]	Dr.		645	645
	Drawings A/c To Manav's A/c [Debtors] [Being, cheque from a Debtor directly received and deposited into personal bank a/c by proprietor, now adjusted]	Dr.		12,000	12,000

Question 7.**[MTP'1 June-19 for 5 marks]**

Mr. Mitra could not tally his Trial Balance on 31.3.2017. He transferred ₹ 596 being excess of debit side to Suspense Account, The following errors were subsequently discovered:

- (i) Sales Book was overcast by ₹ 500.
- (ii) Purchases of Machinery ₹ 730 passed through Purchases Day Book.
- (iii) An amount of ₹ 99 received from Mr. Young was posted to his account as ₹ 990.
- (iv) A cash sale of ₹ 2,235 duly entered in Cash Book but posted to Sales Account ₹ 235.
- (v) Salary Account was debited with ₹ 3,000 in place of ₹ 2,000.

Rectify the above errors through the Journal Entries.

Solution

Journal

Date	Particulars		L.F.	Dr.	Cr.
	Sales A/c To Suspense A/c (Being Sales Book overcast, now rectified)	Dr.		500	500
	Machinery A/c Creditors A/c To Purchases A/c To Creditors for Machinery A/c (Being purchases of machinery wrongly passed through Purchases Day Book, now rectified)	Dr. Dr.		730 730	730 730
	Mr. Young A/c To Suspense A/c (Being amount received from Mister Young Y of ₹ 99, wrongly posted to his account as ₹ 990, now rectified)	Dr.		891	891
	Suspense A/c To Sales A/c (Being cash sale of ₹ 2,235 duly entered in Cash Book but posted to Sales Account as ₹ 235, now rectified)	Dr.		2,000	2,000
	Suspense A/c To Salaries A/c (Being Salaries A/c wrongly debited with ₹ 3,000 in place of ₹ 2,000, now rectified)	Dr.		1,000	1,000

Question 8.

[MPT'2 June-20 for 7 marks]

The trial balance of Preeti on 31st December, 2011, showed a difference of ₹ 580 (excess debit). It was put to a Suspense Account and the books were closed. On going through the books in January 2012, the following errors were discovered. You are required to pass suitable rectifying journal entries and prepare the suspense account.

- (i) ₹ 450 received from G.Kothari was posted to the debit of his account.
- (ii) ₹ 200 being purchases returns was posted to the debit of purchases account.
- (iii) Discount ₹ 400 received, entered in the cash book was not posted to the ledger.
- (iv) ₹ 574 paid for repairs to motor-car was debited to the motor-car account as ₹ 174.
- (v) A sale of ₹ 350 to sushmita was entered in the sales book as of ₹ 530.
- (vi) While carrying forward total of one page in koushal's account, the amount of ₹ 250 was written on the credit side instead of debit side.

(vii) The purchase of machinery on 1st January, 2011 for ₹ 8000 was entered in the purchases account.

Solution**JOURNAL**

Date	Particulars		Dr. (₹)	Cr. (₹)
(i)	Suspense A/c To G.Kothari (Being ₹ 450 received from G.kothari debited to his account, the error now rectified)	Dr.	900	900
(ii)	Suspense A/c To Purchases A/c To Purchase Return A/c (Being purchases returns of ₹ 200 posted to the debit of purchases A/c, the error now rectified)	Dr.	400	200 200
(iii)	Suspense A/c To Discount A/c (Being discount received not posted to discount A/c, the error now rectified)	Dr.	400	400
(iv)	Repairs A/c To motor car A/c To Suspense A/c (Being repairs to motor car, ₹ 574, debited to motor car A/c as ₹ 174 wrongly, the error now rectified)	Dr.	574	174 400
(v)	Sales A/c To Sushmita (Being sales of ₹ 350 to sushmita entered in the sales book as of ₹ 530, the error now rectified)	Dr.	180	180
(vi)	Koushal A/c To Suspense A/c (being koushal's A/c credited by ₹ 250 instead of being debited by ₹ 250, the error now rectified)	Dr.	500	500
(vii)	Machinery A/c To Purchases A/c (Being purchases of machinery debited to purchases A/c instead of machinery A/c, the error now rectified)	Dr.	8,000	8,000

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